

Harnessing Open Source AI Without Compromising Governance

Open source AI is accelerating innovation, but without the right guardrails it can pose a compliance and security challenge.



OPEN SOURCE AI

GOVERNANCE

source models. However, there is an issue. With new models, frameworks, and agentic AI tools being announced every day, organisations may miss out on these innovative products and be unable to properly implement the appropriate governance and control processes related to them.

Open source AI is different from traditional open source

Traditional open source governance policies do not effectively support the realities of artificial intelligence (AI). Historically, compliance teams focused on software licences, derivatives, the obligations of distribution, and the requirements of modification. Although these issues continue to be important, AI has the potential to raise a new set of issues.

Today, organisations have additional issues to consider, including:

- Hallucinations (the unreliable output that AI systems produce).
- Ownership of AI-generated content (if a developer creates code through a traditional open source library, the issue surrounding ownership and licence obligations is quite straightforward).
- Challenges around the attribution of AI-generated output (since there is generally no direct human author).
- Lack of transparency surrounding the models or algorithms used to produce AI-based output.
- Lack of accountability when machine-generated output causes harm (either financially or based

Open source artificial intelligence (AI) is shaping the speed of innovation in all sectors of the economy. Corporations in industries such as healthcare, enterprise software, finance, and research are using AI-driven open source tools, enabling them to accelerate product development and increase efficiency. There are huge opportunities to be gained from using open source AI; however, organisations must modify their current processes on governance, compliance, and risk management to keep pace with this new level of innovation. They must use open source AI in a responsible manner without jeopardising proprietary data and intellectual property, and violating regulatory standards.

The rapid rise of open source AI

Open source AI has been growing remarkably rapidly, with new AI companies and solutions coming from all over the world, adding to a greater diversity of available models and tools than ever before.



Komal Pandita, senior developer,
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Sarvam AI and Gyan AI are building foundational AI models designed specifically for the linguistic/cultural diversity of India, while China has been creating similar models like DeepSeek and Qwen. Mistral and Meta's Llama have demonstrated low-cost options for the development of AI technologies.

Organisations of all sizes and types can reduce their expense of developing new AI products due to lower-cost funding of general-purpose and commercial products through open